Fearnleys



Fearnleys Dry Bulk Weekly

Oct 22, 2026

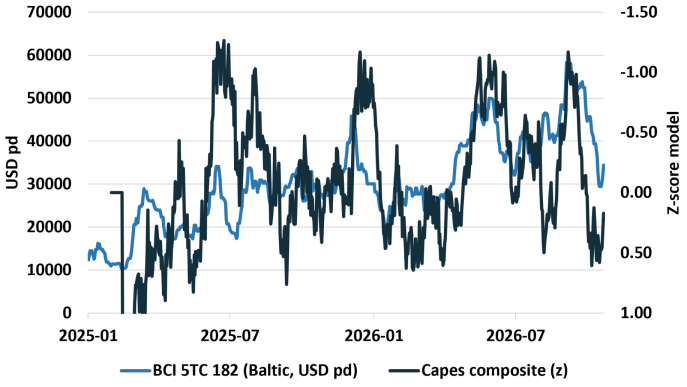
Capesize/Newcastlemax

The model below consists of factors like the global ballast/laden vessel ratio, West of Singapore ballasters, and a couple of other AIS indicators. Below the charts are tables showing where the model sits currently. It is only at extremes that these models give very clear suggestions about the near-term outlook.

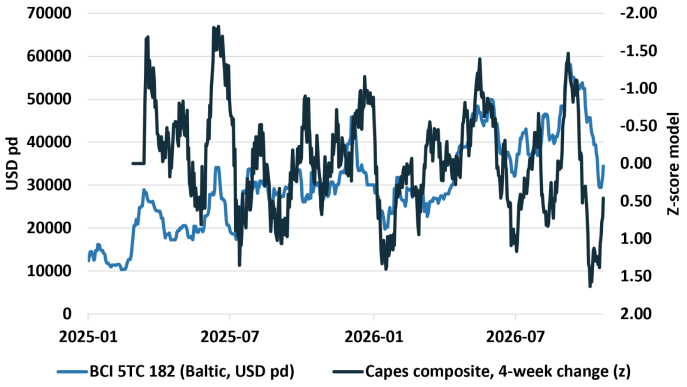
The models exited the most bullish brackets last week, specifically on the 18th, which means the bull signals are "live" through the 3rd week of November.

In the last 6 weeks, total South Atlantic shipment volumes were up 1.1% compared to the corresponding weeks last year. Iron ore shipments from Brazil were down 20%, whereas Bauxite shipments were up 12%.

Cape/Newc Composite Model



Cape/Newc Composite Model - 4 Weeks Change



Capesize composite vs forward BCI 5TC (182k), USD/day

Average forward BCI change by composite bucket. Latest 21-Oct-2026: +0.17 (highlighted). Reading count includes unrealized cases; n = eligible realized windows per horizon. Historical, not forecasts.

Model reading	Readings	+2w $/d	up %	+3w $/d	up %	+4w $/d	up %
< -1.00	33	-6,411 (n=33)	12%	-7,068 (n=33)	12%	-6,707 (n=33)	24%
-1.00 to -0.50	110	-2,934 (n=110)	21%	-3,867 (n=110)	23%	-4,792 (n=110)	29%
-0.50 to 0.00	173	1,863 (n=173)	61%	1,600 (n=173)	67%	2,248 (n=168)	68%
0.00 to +0.50	**221**	**1,643 (n=209)**	**66%**	**2,840 (n=203)**	**73%**	**3,780 (n=201)**	**69%**
+0.50 to +1.00	61	259 (n=59)	58%	1,333 (n=58)	50%	1,109 (n=58)	43%
≥ +1.00	17	9,320 (n=17)	94%	11,420 (n=17)	88%	10,706 (n=17)	88%
All observations	*615*	*507 (n=601)*	*53%*	*785 (n=594)*	*57%*	*1,082 (n=587)*	*57%*

Source: Fearnleys Research; AIS & Baltic Exchange. Jan-2025 through 21-Oct-2026; partial 22-Oct excluded. Rates carried on non-publication days. Buckets include lower and exclude upper boundary. Daily windows overlap; counts are not independent samples.

Capesize composite 4-week change vs forward BCI 5TC (182k), USD/day

Average forward BCI change by 28-day change in the composite. Latest 20-Oct-2026: +0.71 (highlighted). Reading count includes unrealized cases; n = eligible realized windows per horizon. Historical, not forecasts.

Model reading	Readings	+2w $/d	up %	+3w $/d	up %	+4w $/d	up %
< -1.00	52	-4,875 (n=52)	12%	-6,494 (n=52)	12%	-7,839 (n=52)	19%
-1.00 to -0.50	104	-1,535 (n=104)	38%	-2,798 (n=104)	37%	-4,002 (n=104)	36%
-0.50 to 0.00	145	1,581 (n=145)	64%	1,566 (n=145)	68%	2,437 (n=144)	62%
0.00 to +0.50	155	313 (n=155)	50%	1,391 (n=155)	55%	3,030 (n=151)	61%
+0.50 to +1.00	**88**	**2,105 (n=85)**	**68%**	**3,876 (n=83)**	**78%**	**4,674 (n=81)**	**75%**
≥ +1.00	42	2,409 (n=31)	71%	4,937 (n=26)	96%	4,515 (n=26)	88%
All observations	*586*	*207 (n=572)*	*52%*	*467 (n=565)*	*56%*	*861 (n=558)*	*56%*

Source: Fearnleys Research; AIS & Baltic Exchange. Jan-2025 through 20-Oct-2026; partial 21-Oct excluded. Rates carried on non-publication days. Buckets include lower and exclude upper boundary. Daily windows overlap; counts are not independent samples.

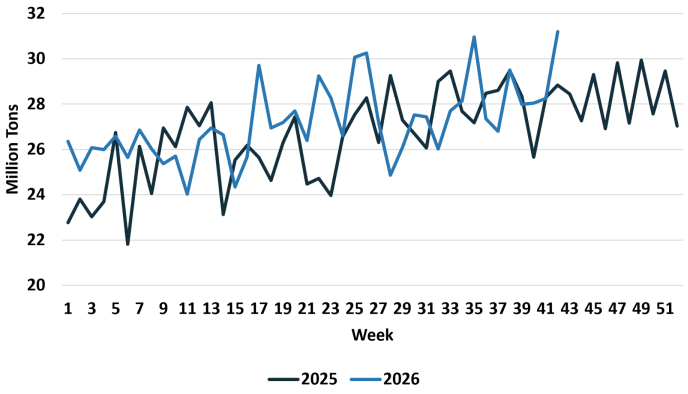
Panamax/Kamsarmax

Shipment volume growth continues to be lower than DWT supply growth, with a slight worsening seen over the last few weeks. Through week 42, growth was 2.9%, compared to DWT supply growth of 4.7%. Over the last 10 weeks, volume growth was 1.4% compared to the same period last year.

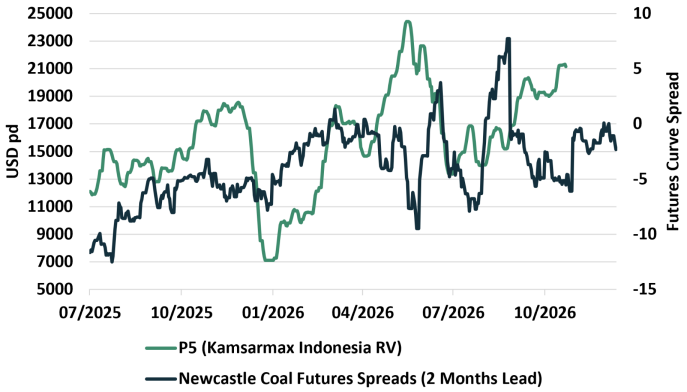
The average seasonal pattern suggests the market will trend down into Q1 now. How sharp this drop will be depends on fundamentals.

Top left chart: Shipment volumes were up 2.8% year on year through week 41. In the last ten weeks, volumes were down +0.3% compared to the same period last year. Supply growth was 4.2% at the latest reading.
Top right chart: The 2-month lead of the coal futures curve suggest the market will entered a topping phase now.
Bottom left chart: The market has corrected in line with what the indicator predicted. It now suggests a rebound is imminent.
Bottom right chart: Big divergence between P6 and this indicator last week - the biggest seen this year by far, as the Pacific indicator "won" in this respect... We have to wait for an eventual recoupling before the South Atlantic indicator gives predictive value again.

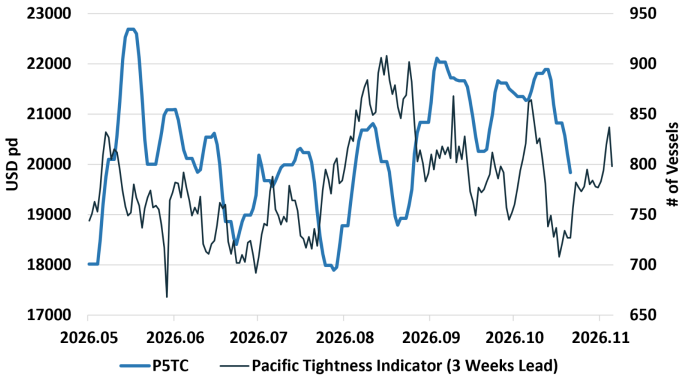
Weekly Shipment Volumes



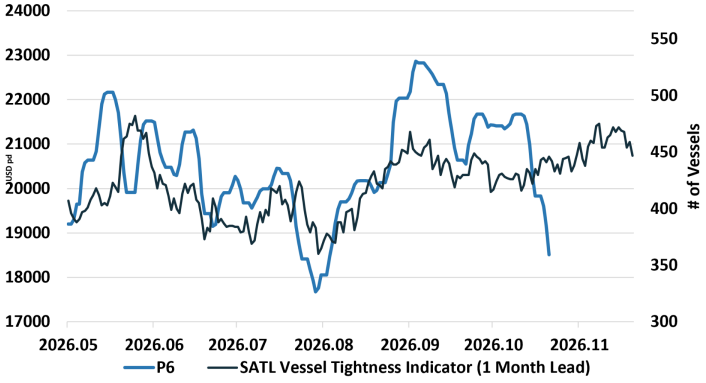
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 3 Weeks)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)

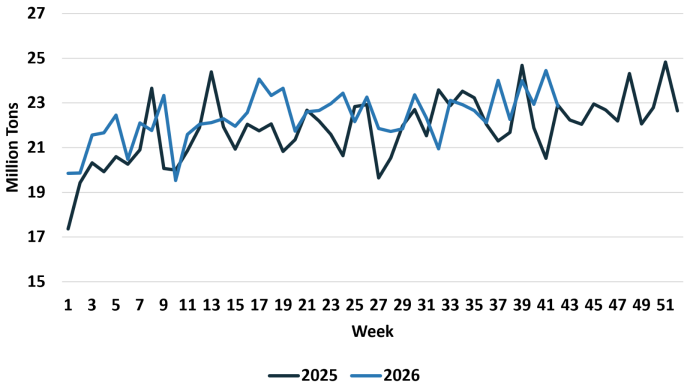


Supramax/Ultramax

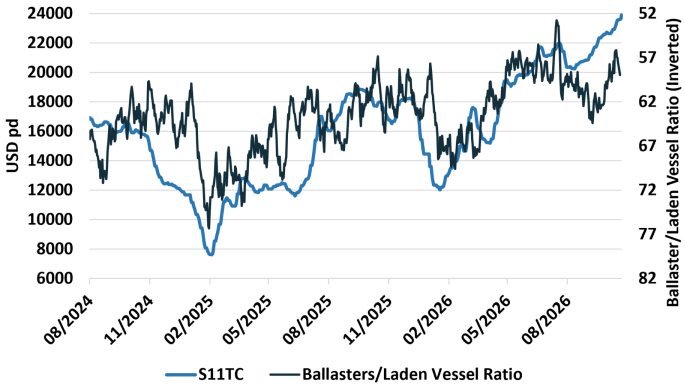
Through week 42, shipment volume growth was 3.4% year-on-year, whereas over the last 10 weeks, growth was 1.6% compared to the same period last year. DWT supply growth continues at 5.5% year-on-year.
The ballast/laden vessel reading remains at a level which suggests further upside is limited in the near term. The reading now is comparable to July this year and September/October/November last year. Further, the spread over the Kamsarmax market is close to the highest seen since S11TC index inception.

Top left chart: Weekly shipment volumes, 2026 ytd vs 2025.
Top right chart: S11TC vs the Ballaster/Laden vessel ratio. A lower ratio indicates a looser market balance, and vice versa. The index and the ballast/laden ratio have diverged from the index over the last month and a half
Bottom left chart: The industrial metals index is composed of copper, aluminium, zinc and nickel, and weighted according to market value. The 9-month change of this index has a high correlation with the 9-month change of the Ultramax 1-year TC rate, and leads by about 3 months.
Bottom right chart: The 9-month change of the price of copper has a high correlation with the 9-month change of the Ultramax 1-year TC rate. The copper price change leads by about 4 months.

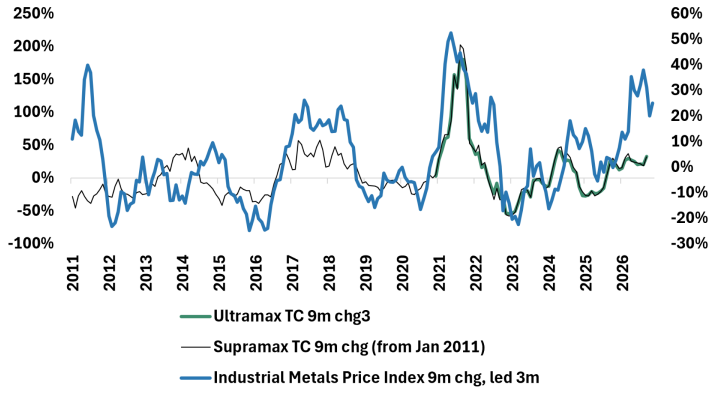
Weekly Shipment Volumes



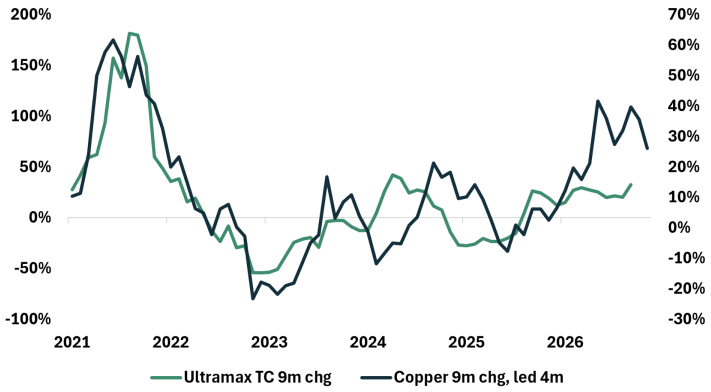
Ballaster/Laden Vessel Ratio vs S11TC



Industrial Metals Price Index vs Ultra/Supra 1 Year TC



Copper Price vs Ultramax 1 Year TC

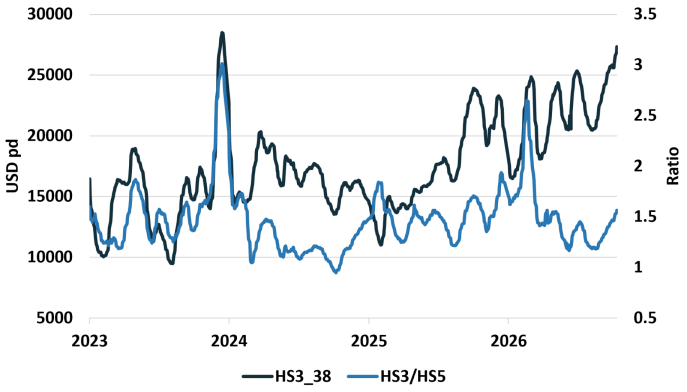


Handysize

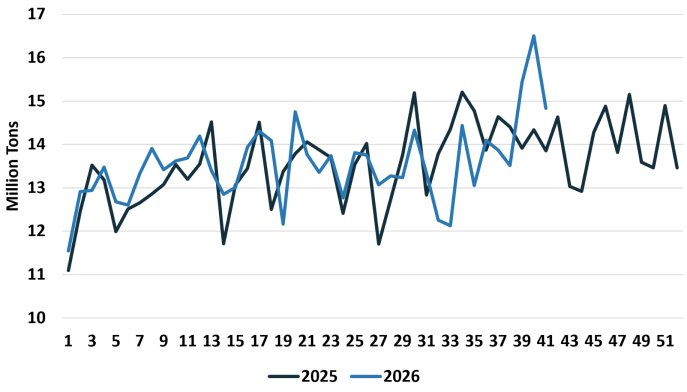
Through week 42, shipment volumes grew by an estimated 0.5% compared to last year. DWT supply growth remains at 3.2%. The market remains firmer than the weak headline figures suggest. In the near term, the strength of the Ultramax segment suggests continued sideways/slightly up in this segment.

Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom.
Top right chart: Through week 41, Handysize shipment volumes were 0.7% higher year on year, declining from the 3%+ figures seen in the last months. DWT supply growth was 3.2% at the latest reading.
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.
Bottom right chart: The change in the price of copper is usually an accurate leading indicator for asset values.

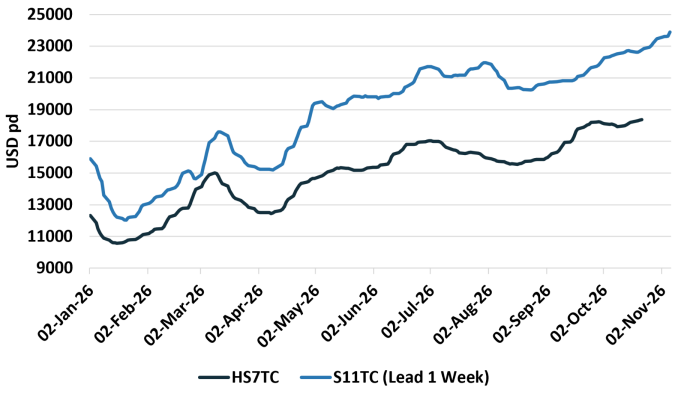
HS3 vs Ratio of HS3 and HS5



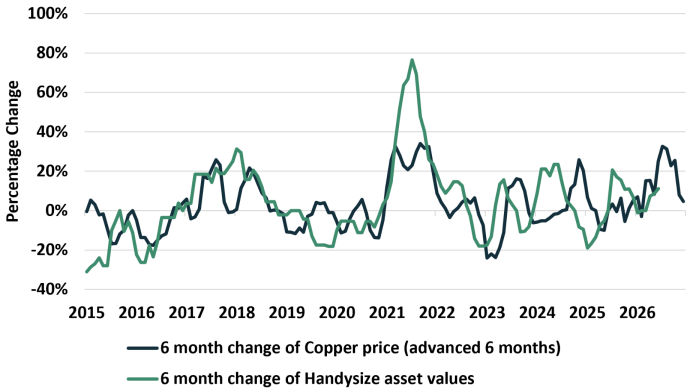
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC

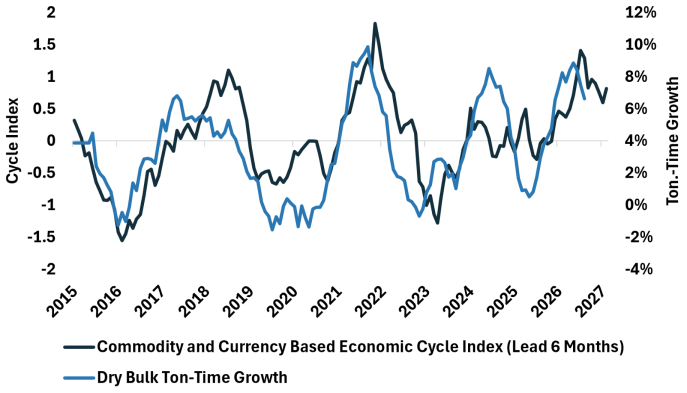


Copper Price 6 Months Change, 6 Months Lead, vs Handysize 10 Year Old 6 Months Change

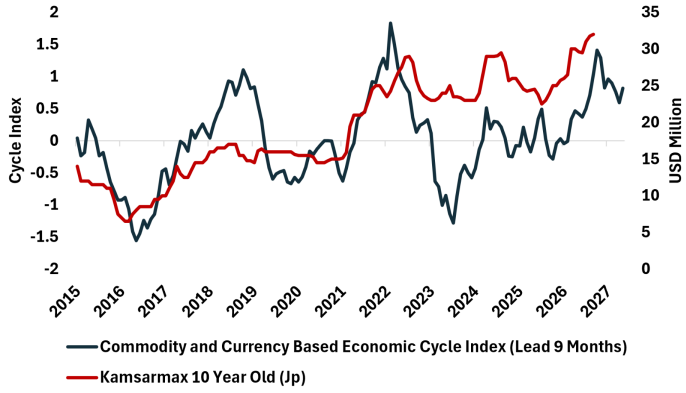


Fundamentals and Macro

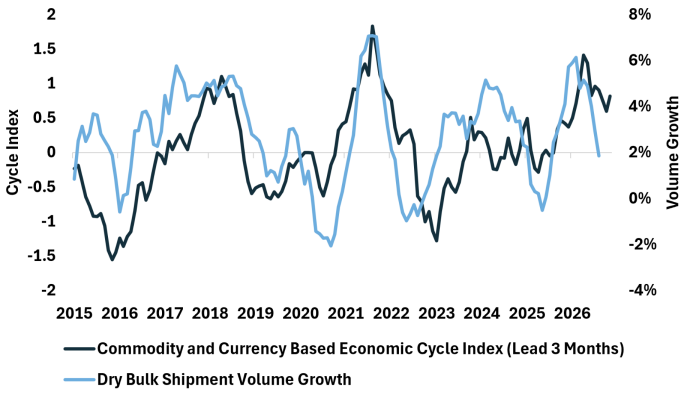
Economic Cycle Index vs Dry Bulk Ton-Time Growth



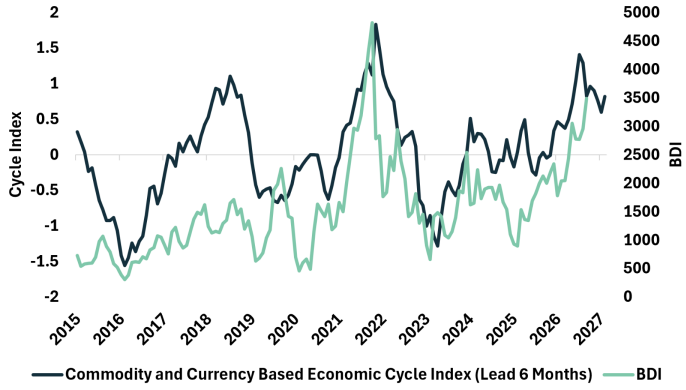
Economic Cycle Index vs Kamsarmax 10-Year Old



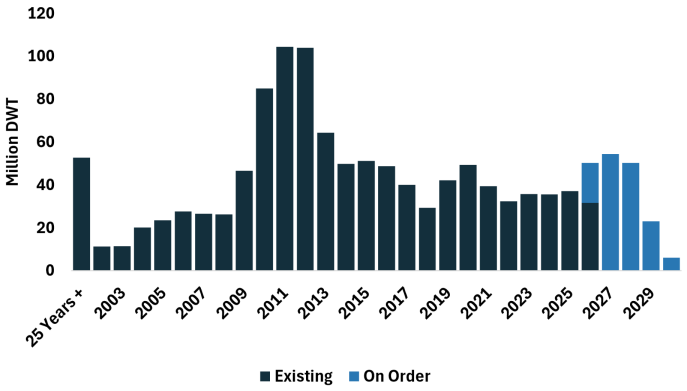
Economic Cycle Index vs Dry Bulk Volume Growth



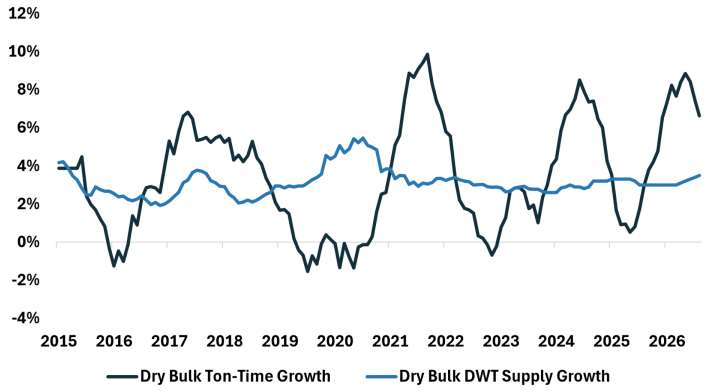
Economic Cycle Index vs BDI



Fleet Age Profile



Ton-Time Growth vs DWT Supply Growth



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